

I am pleased to send you the August 15, 2001 web-based e-mail "Alert" prepared by Baker & McKenzie's Global Labour, Employment & Employee Benefits Practice Group ("GLEEB"). The Alert's purpose is to provide our clients and friends with timely updates in a short "user friendly" fashion with hyperlinks to articles with more detailed information on employment law developments from around the world.

The Alert is organized into six sections - Global, Asia Pacific, Europe, Africa/Middle East, South America, and North America. The Alert consists of short, one-paragraph "blurbs," organized by country and region. You can quickly scan the Alert for items of particular interest, and then click on the hyperlinks provided for each blurb for additional information.

If you would like to be removed from my mailing list for the Global Employment Law Alert, please type "REMOVE" in the subject line and I will take you off my email list.

Please feel free to contact me should you have any questions.

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GLOBAL EMPLOYMENT LAW ALERT

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South America North America

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VISIT OUR GLOBAL EMPLOYMENT LAW ALERT WEBSITE: To access our Alert program, including current and past editions of the GEL Alert, please visit our dedicated website at <http://www.bakernet.com/gel>. Readers can search the current GEL Alert by category, or access our complete archive search engine to review past GEL Alerts by topic, country, region, or date. In addition, readers can search our Knowledge Base (K-Base) for surveys, resources, and articles by members of our Global Labour, Employment & Employee Benefits Practice Group. Alert Date: 8/15/01

NEW PUBLICATION SCHEDULE: Based on feedback of our readership, the GEL Alert is now disseminated twice per month (on the 1st and 15th day of each month). This schedule will ensure that our readership receives the most timely and

up-to-date information possible on breaking developments. Our GEL Alert also features a new section on "Highlights," so that readers can quickly scan the Alert for items of special interest. Alert Date: 8/15/01

**** - GEL ALERT HIGHLIGHTS:** Employee Benefits: Malaysian unions press for additional annuity schemes. Employment Discrimination: Germany enacts legislation protecting severely disabled employees; U.S. Equal Employment Opportunity Commission secures multimillion dollar settlement on behalf of female workers. Employment Litigation: Australian unions launch test case on reasonable working hours; German court allows headhunters to call candidates at their workplace. Immigration: Germany's immigration debate; French prosecution of people smugglers; Bahrain announces six month grace period for free visa workers. Labour Abuses: UNITE launches global campaign over sweatshop conditions. Legislation: India's new tax agreement with Austria on multinational employees; Israel introduces ban on smoking in the workplace; New maternity and family allowance regulations in Italy. Privacy: Japanese employee first to be charged under new cybersnooping law. Unions: International Union of Food Workers issues statement of concern regarding Columbian litigation over alleged labour abuses. Wrongful Termination: Laid off workers in the United States are striking back at their ex-employers. Alert Date: 8/15/01

**** - BAKER EVENTS:** Juarez: "Legal Strategies To Increase Manufacturing Efficiencies In Mexico," to be held on September 6, 2001, in Juarez, Mexico. For more information please contact Barbara Garcia <<mailto:barbara.garcia@bakernet.com>> . Alert Date: 8/15/01

GlobalGlobal top

**** - foodworkersIUF STATEMENT ON THE U.S. LAWSUIT AGAINST COCA-COLA ALLEGING UNION ABUSES:** The International Union of Food Workers (IUF) has recently issued a statement of concern over the U.S. lawsuit against the Coca-Cola Company alleging union abuses in Columbia. The IUF stated that although it has no evidence linking Coca-Cola to the current allegations, the IUF does not accept Coca-Cola's initial assertion that it has no connection or responsibility for the policies or action of its anchor bottlers in Colombia. See "Coca-Cola <<http://www.iuf.org/iuf/index.html>> Law Suit." <<mailto:jorge.rodriquez@bakernet.com>> jorge.rodriquez@bakernet.com or <<mailto:tatiana.garces@bakernet.com>> tatiana.garces@bakernet.com Alert Date: 8/15/01

**** - EUROPE'S IT CRUNCH:** The European Commission recently estimated that the shortage of IT personnel in Europe is greater than that of the U.S., as there will be 2.2 million IT positions unfilled in Europe by the end of 2002. The lack of personnel can be blamed on poor recruiting techniques and outdated business procedures. See "IT <<http://www.networkcomputing.com/1210/1210ca.html>> Crunch." <<mailto:michael.j.wagner@bakernet.com>> michael.j.wagner@bakernet.com or <<mailto:markus.kappenhagen@bakernet.com>> markus.kappenhagen@bakernet.com Alert Date: 8/15/01

**** - UniteUNITE LAUNCHES GLOBAL CAMPAIGN AGAINST CLOTHING RETAILERS:** On August 7, 2001, UNITE, a coalition of labour unions and civil rights groups

from nine countries, launched a worldwide campaign against clothing retailers over alleged sweatshop conditions faced by garment workers. The campaign pledges to utilize publicity tactics during the back-to-school and holiday shopping seasons. UNITE has set up an internet site to provide consumers with information and links about alleged abusive working conditions. See " UNITE <<http://www.behindthelabel.org/>> Internet Site." <<mailto:Gerald.I.maatman@bakernet.com>> gerald.i.maatman@bakernet.com or <<mailto:james.cameron@bakernet.com>> james.cameron@bakernet.com Alert Date: 8/15/01

**** - UNION PARTNERS WITH TOBACCO CONTROL GROUPS TO CURB SMOKING AMONG BLUE**

COLLAR WORKERS: In response to the U.S. Center for Disease Control's study which showed that blue-collar and service workers have a disproportionately higher rate of tobacco use and a higher likelihood to die from smoking than white-collar workers, the Laborers' International Union of North American recently announced a partnership with several tobacco control groups to implement a worldwide educational program aimed at informing young union-represented workers about the dangers of smoking. See " Smoking Dangers <<http://www.niehs.nih.gov/centers/coep/jhp-coep.htm>> ." <<mailto:j.richard.hammett@bakernet.com>> j.richard.hammett@bakernet.com or <<mailto:howard.f.fine@bakernet.com>> howard.f.fine@bakernet.com Alert Date: 8/15/01

**** - AFRICAN LAWMAKERS ADOPT ANTI-HIV/AIDS MOTION:** The Commonwealth Parliamentary Association of Africa recently adopted a motion calling on member countries to treat the HIV/AIDS epidemic as a national priority. The first line of defence is through workplace education programs. " HIV/AIDS Priority <<http://allafrica.com/stories/printable/200108100153.html>> ." <<mailto:andrew.j.boling@bakernet.com>> andrew.j.boling@bakernet.com or <<mailto:william.j.dorsey@bakernet.com>> william.j.dorsey@bakernet.com Alert Date: 8/15/01

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AU - ESSO FINED AU\$2M FOR OHS FAILURES THAT KILLED TWO: The Victorian Supreme Court recently levied maximum fines on Esso Australia for breaches of occupational health and safety laws relating to an explosion at one of the three gas processing plants the company runs at Longford in Victoria. The blast in September of 1998 killed 2 employees and injured eight others. The Court found Esso's failure to identify hazards in a most hazardous workplace and to properly train employees about risks justified the maximum penalties. See: " DPP <<http://www.ecruiting.com.au/express/esso300701.htm>> v Esso Australia Party Ltd." <<mailto:michael.michalandos@bakernet.com>> michael.michalandos@bakernet.com or <<mailto:chris.oliver@bakernet.com>> chris.oliver@bakernet.com Alert Date: 8/15/01

AU - AUSTRALIAN GOVERNMENT ANNOUNCES INQUIRY INTO CORRUPTION IN CONSTRUCTION

INDUSTRY: Australian Prime Minister, John Howard, recently announced a Royal Commission inquiry into the construction industry. The terms of reference for the inquiry will be broad and include scrutiny of unauthorized use of

union funds and unlawful conduct by unions. The inquiry arose out of reports into the industry which alleged a range of criminal conduct and corrupt behavior particularly by unions. See " Royal Commission To Investigate Building Industry
<<http://www.e recruiting.com.au/express/pmstatement260701.htm>> ."
<<mailto:paul.brown@bakernet.com>> paul.brown@bakernet.com or
<<mailto:sally.woodward@bakernet.com>> sally.woodward@bakernet.com Alert
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AU - EX-PATRIATE EMPLOYEE WINS PAYOUT FOR ATTACK: In an important ruling for employers of expatriates, the New South Wales Court of Appeal has recently upheld a AU\$570,000 pay out to an employee who was physically attacked while on an assignment in Papua New Guinea. The sales employee developed reactive depression after a thief knocked her to the ground, punched her, and stole her handbag. The Court found that the employer had breached its duty of care by failing to provide her with adequate safety advice or measures in a dangerous location. See: " Pacific Access Pty Ltd v Davies
<<http://scaleplus.law.gov.au/html/nswdec/0/20013/0/ND000740.htm>> ."
<<mailto:paul.brown@bakernet.com>> paul.brown@bakernet.com or
<<mailto:chris.oliver@bakernet.com>> chris.oliver@bakernet.com Alert Date:
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AU - COURT EXPLORES EXTENT OF EMPLOYERS VICARIOUS LIABILITY: The Supreme Court of Queensland has confirmed that an employer is not vicariously liable for the conduct of an employee for acts that are outside their normal range of duties, such as criminal behavior. In a recent decision, the Court had to determine whether the plaintiffs, children who were allegedly assaulted by a teacher, could sue the State Education Department because of its purported negligence. The Full Bench found that it remains the law in Australia that an employer generally is not vicariously liable for an assault by an employee that is an independent and personal act not connected to work the employee is expressly or impliedly authorized to perform. See " Rich v State of Queensland <<http://www.austlii.edu.au/au/cases/qld/QCA/2001/295.html>> ."
<<mailto:paul.brown@bakernet.com>> paul.brown@bakernet.com or
<<mailto:sally.woodward@bakernet.com>> sally.woodward@bakernet.com Alert
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AU - CAR PART MANUFACTURER STRIKE CRIPPLING INDUSTRY: An on-going recent strike at a steering component manufacturer that supplies all four Australian car-makers is causing a chain reaction which some commentators say threatens 50,000 jobs. Car-makers have stood down employees because of the shortage of key parts due to the strike action. The union representing the striking workers says that the stoppage is in support of claims which include a demand for industry employers to sign up for a trust fund to protect workers' entitlements. See " Car Strike
<http://news.com.au/common/story_page/0,4057,2498495%5E2%5E%5Enbv,00.html> ."
<<mailto:paul.brown@bakernet.com>> paul.brown@bakernet.com or
<<mailto:elspeth.lynch@bakernet.com>> elspeth.lynch@bakernet.com Alert Date:
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AU - AUSTRALIAN LABOUR MARKET POLICIES HOLD POSSIBLE LESSONS FOR OTHER OECD

COUNTRIES: A recent report from Organization for Economic Co-Operation and Development entitled, Innovations in Labour Market Policies: the Australian Way, reviews the advantages and shortcomings to the Australian approach to labour market policy. See " Labour

<<http://www.oecd.org/media/publish/pb01-28.htm>> Report."

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<<mailto:nicole.vanderhoek@bakernet.com>> nicole.vanderhoek@bakernet.com

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AU - testcaseUNIONS RUN TEST CASE ON "REASONABLE HOURS": The peak body for Australian unions, the Australian Council of Trade Unions, recently launched a test case into "reasonable hours" in the Australian Industrial Relations Commission. If the union's test case succeeds, employees would be granted extra days of annual leave for working "extreme hours." The unions' purpose is to establish a benchmark for what is a reasonable level of the total numbers of hours worked and what is a reasonable configuration of those hours. The hearings for the test case have been set for November of 2001.

See " Reasonable Hours Test Case

<<http://www.vunions.com.au/vunions/actu/article.cfm?objectid=93326B51-04A0-4DE0-A66807AAE44E889B>> ." <<mailto:paul.brown@bakernet.com>>

paul.brown@bakernet.com or <<mailto:kathleen.thornton@bakernet.com>>

kathleen.thornton@bakernet.com Alert Date: 8/15/01

AU - VICTIMS OF CRIME ENTITLED TO UNPAID LEAVE: The New South Wales Government recently passed legislation which will allow victims of crime to take unpaid leave to attend court proceedings in connection with the crime. This change was introduced as an amendment to the State's Industrial Relations Act. The new law would allow not only victims of crime to take the leave, but also immediate family members of the victim where the victim had died as a result of the offence. The entitlement to unpaid leave would cover attendance for court sitting days including reasonable traveling time. See " Industrial Relations Amendment (Leave for Victims of Crime)

<http://www.austlii.edu.au/au/legis/nsw/consol_act/irafvoca2001548> Act

2001." <<mailto:brian.jebb@bakernet.com>> brian.jebb@bakernet.com or

<<mailto:chris.oliver@bakernet.com>> chris.oliver@bakernet.com Alert Date:

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AU - MINING UNION WINS CASE FOR TRANSMISSION OF AGREEMENT: The Federal Court on August 1, 2001 found that the collective agreement covering mine operator, Ebenezer Mines, applies to an outsourcer of its coal handling preparation plant due to the operation of the transmission of business provisions of the Workplace Relations Act 1996. The Court found that the preparation plant was a distinct part of the business which had been transferred when the outsourcing arrangement was entered into. The transmission of business provisions operated to transfer Ebenezer's collective agreement to a successor, assignee, or transmittee of a part of the business. See " CFMEU v Henry Walker Eltin Contracting Pty Ltd

<http://www.austlii.edu.au/au/cases/cth/federal_ct/2001/1009.html> ."

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<<mailto:kathleen.thornton@bakernet.com>> kathleen.thornton@bakernet.com

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CN - HONG KONG INVESTIGATORS ARREST USERS OF PIRATED SOFTWARE: On August 3, 2001, Hong Kong customs investigators raided two interior design companies in a software pirate sting, arrested employees, and seized PC hard disk drives. The raid was the first enforcement of the recently introduced Intellectual Property (Miscellaneous Amendments) Ordinance 2000, which makes it a criminal offence to use unlicensed software in operating a business.

See " Hong Kong Raid

<<http://www.thestandard.com/article/0,1902,28497,00.html>> ."

<<mailto:paul.tan@bakernet.com>> paul.tan@bakernet.com or

<<mailto:andreass.lauffs@bakernet.com>> andreas.lauffs@bakernet.com Alert

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CN - CHINESE STATE EXECUTIVES HELD IN VISA SCAM: On August 1, 2001, two officials of a Chinese state-run company and a Japanese man were arrested in Tokyo for allegedly helping foreigners without valid visas find employment in exchange for a cut of their salaries. This is the first time Chinese officials have been arrested in connection with illegal employment in Japan.

See " State Exec Held in Visa Scam

<<http://www.asahi.com/english/national/K2001080100843.html>> ."

<<mailto:william.kuo@bakernet.com>> william.kuo@bakernet.com or

<<mailto:daniel.chan@bakernet.com>> daniel.chan@bakernet.com Alert Date:

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IN - RECRUITMENT OF IT PROFESSIONALS IN INDIA: On August 8, 2001, U.S.-based Amdocs Management set up an office in India to increase its annual intake of IT professionals from 300 last year to 700 this calendar year, and 1,200 next year. Business Week ranked NYSE-listed Amdocs as world's third-largest software company last year. See " India

<<http://www.indiatimes.com/news/etit/08info08.htm>> IT Recruitment."

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<<mailto:narendra.achrayra@bakernet.com>> narendra.achrayra@bakernet.com

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IN - taxagreeNEW TAX AGREEMENT WITH AUSTRIA: On August 7, 2001, India entered into a new agreement for avoidance of double taxation and prevention of fiscal evasion with Austria. The revised convention will become applicable in India from April 1, 2002, and in Austria from January 1, 2002. The revised convention will cover income tax in case of India and income tax as well as corporation tax in case of Austria. To avoid double taxation, India will give credit for Indian workers paying taxes in Austria, and Austria will exempt the income taxable in India under provisions of the new convention. See " New Tax Regime

<<http://www.business-standard.com/today/economy1.asp?Menu=3>> ."

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<<mailto:narendra.acharya@bakernet.com>> narendra.acharya@bakernet.com Alert

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IN - NEW WEB PORTAL FOR RECRUITING: On August 13, 2001, an India-based start-up launched Headhuntersworldwide.com for global recruitments online and for Web-based services and applications. An interesting feature of the

portal is the functionality it offers for short-term contracting. It has entered into an agreement with an Australia-based software consulting firm to monitor new trends and technologies and offer online and offline recruitment solutions. <mailto:andrew.j.boling@bakernet.com> andrew.j.boling@bakernet.com or <mailto:narendra.achraya@bakernet.com> narendra.achraya@bakernet.com Alert Date: 8/15/01

JP - IN-HOUSE PROBE OF JAPANESE LAB: A Japanese institute has recently announced that one of its scientists took Alzheimer's research material from the Cleveland Clinic Hospital in the United States, but denied that it ordered him to do so. The institute said Takashi Okamoto was not hired to pilfer or steal, and that the material was not used for his research in Japan. Okamoto was formally charged by the U.S Government under the 1996 Economic Espionage Act, which makes it a federal crime for any person of an organization funded by a foreign country to steal trade secrets. See <mailto:hiroshi.kondo@bakernet.com> hiroshi.kondo@bakernet.com or <mailto:mikako.fujiki@bakernet.com> mikako.fujiki@bakernet.com Alert Date: 8/15/01

JP - cybersnooping JAPANESE WOMEN FIRST TO BE CHARGED UNDER CYBERSNOOPING LAW: A Japanese woman has become the first person to be charged under the country's new cybersnooping laws. The woman is accused of rifling through a co-worker's email account. See " Cybersnooping In The Workplace <http://www.ananova.com/news/story/sm_370579.html> . <mailto:hiroshi.kondo@bakernet.com> hiroshi.kondo@bakernet.com or <mailto:akira.ito@bakernet.com> akira.ito@bakernet.com Alert Date: 8/15/01

JP - TOKYO EYES DIRECT GOVERNMENT EMPLOYMENT TO ABSORB JOB LOSSES: According to a recent statement by the Japanese Minister for Economic and Fiscal Policy, the government needs to employ more people in the public sector to cushion the impact of major economic reforms promised by the Prime Minister. See " Structural Reforms <<http://biz.thestar.com.my/news/story.asp?file=/2001/8/8/business/08b12jap&sec=business>> ." <mailto:hiroshi.kondo@bakernet.com> hiroshi.kondo@bakernet.com or <mailto:hideo.ohta@bakernet.com> hideo.ohta@bakernet.com Alert Date: 8/15/01

KR - UNION LEADER SURRENDERS AFTER MONTH-LONG REFUGE: On August 5, 2001, Dan Byung-ho, leader of an umbrella labour group, turned himself into police, ending a 35-day holdout at a Seoul church. See " Dan Surrenders <http://www.koreaherald.co.kr/SITE/data/html_dir/2001/08/03/200108030014.asp> ." <mailto:nam.h.paik@bakernet.com> nam.h.paik@bakernet.com or <mailto:hiroshi.kondo@bakernet.com> hiroshi.kondo@bakernet.com Alert Date: 8/15/01

MY - annuity MTUC SUGGEST'S EPF CREATES NEW ACCOUNT FOR ANNUITY SCHEME: On August 2, 2001, the Malaysian Trades Union Congress proposed that the Employees Provident Fund create another account for an annuity scheme and that workers be given the option to transfer monies into it. See " Annuity Account <http://www.emedia.com.my/z//Current_News/BT/Thursday/Business/2001080902130

0/> ." <mailto:Adeline.wong@bakernet.com> adeline.wong@bakernet.com or
<mailto:calvin.cheong@bakernet.com> calvin.cheong@bakernet.com Alert Date:
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NZ - NZ\$100,000 FOR AIR NEW ZEALAND PILOT GROUNDED FOR BEING TOO OLD: An air
pilot for Air New Zealand has won a claim for lost wages and distress after
the 60 year old was grounded by Air New Zealand because it said he was too
old. Air New Zealand grounded the pilot because of age restrictions imposed
by some countries such as the United States, which do not allow pilots over
a certain age to fly in their air space. In a recent decision, the
Employment Court found that he should have been paid for the time he was
grounded and that the airline had no right to say turning 60 was the end of
his career and should have tried to find another role for him. See " Air NZ
Pilot Gets \$100,000

<<http://www.nzherald.co.nz/storydisplay.cfm?thesection=news&thesubsection=&storyID=199244>> ." <mailto:paul.brown@bakernet.com> paul.brown@bakernet.com
or <mailto:kathleen.thornton@bakernet.com> kathleen.thornton@bakernet.com
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NZ - FORMER EMPLOYEES TO SUE DIRECTORS OVER COLLAPSE: Former employees of
Qantas New Zealand are seeking legal advice regarding unpaid wages and
entitlements owed to them after the company's collapse. The Engineering,
Printing and Manufacturing Union, which represents most of the former
employees, said it was meeting with liquidators and directors to get some
answers for ex-employees who have yet to receive full payment for wages and
benefits such as redundancy pay. The liquidators report released recently
estimates that after secured and preferential creditors are paid out, only
NZ\$3 million will be available to pay unsecured creditors owed a total of
NZ\$127.5 million. See " Ex-Staff May Sue Directors

<<http://www.stuff.co.nz/inl/index/0%2C1008%2C887688a13%2CFF.html>> ." <mailto:ian.dixon@bakernet.com> ian.dixon@bakernet.com or
<mailto:kathleen.thornton@bakernet.com> kathleen.thornton@bakernet.com
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VN - WORKERS TO ENJOY REFRESHMENT POLICY: The Ministry of Labor, War
Invalids and Social Affairs recently issued Official Dispatch No.

1228/BHXH/CDCS guiding the implementation of the refreshment policies for
workers who have entered into social insurance policy. See " Social
Insurance Premium <[http://www.bmck.com/gel/articles/Vietnam-Refreshment
Policy.doc](http://www.bmck.com/gel/articles/Vietnam-RefreshmentPolicy.doc)> ." <mailto:fred.burke@bakernet.com> fred.burke@bakernet.com or
<mailto:oliver.massmann@bakernet.com> oliver.massmann@bakernet.com Alert
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VN - VIETNAM LABOUR MARKET HOOKED UP TO INTERNET VIA NEW WEB SITE: The
Vietnam Tri Thuc Company has recently launched a web site to provide
information on Vietnamese labour exports, including contacts from employment
agencies, procedures for obtaining visas, and other labour conditions. See "
Labour Market Hooked Up <[http://www.bmck.com/gel/articles/Vietnam-New Web
Site.doc](http://www.bmck.com/gel/articles/Vietnam-NewWebSite.doc)> ." <mailto:fred.burke@bakernet.com> fred.burke@bakernet.com or
<mailto:oliver.massmann@bakernet.com> oliver.massmann@bakernet.com Alert
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VN - AVERAGE INCOME OF WORKERS INCREASES BY 15.9%: According to recent reports, the average monthly income of workers in state owned sections in Vietnam for the first half of 2001 is approximately US\$58 per month. This is an increase of 15.9% against the same time last year. See " Average Monthly Income <[http://www.bmck.com/gel/articles/Vietnam-Income Increase by 15.doc](http://www.bmck.com/gel/articles/Vietnam-Income%20Increase%20by%2015.doc)> ." <<mailto:fred.burke@bakernet.com>> fred.burke@bakernet.com or <<mailto:oliver.massmann@bakernet.com>> oliver.massmann@bakernet.com Alert Date: 8/15/01

VN - JOBSEEKERS OUTNUMBER VACANCIES: The Ministry of Labor, War Invalids and Social Affairs recently reported that Vietnam's labour force has grown from 34 million in 1990 to 46 million in 2000. The size of the labour force is growing by 1.2 million people per year, as more people retire. See " Unemployment Increases <[http://www.bmck.com/gel/articles/Vietnam-Jobseekers Outnumber Vacancies.doc](http://www.bmck.com/gel/articles/Vietnam-Jobseekers%20Outnumber%20Vacancies.doc)> ." <<mailto:fred.burke@bakernet.com>> fred.burke@bakernet.com or <<mailto:oliver.massmann@bakernet.com>> oliver.massmann@bakernet.com Alert Date: 8/15/01

VN - DANGEROUS WORKPLACES CLAIM 1900 VICTIMS: A recent governmental report suggests that some 1,900 workers were injured in workplace accidents in Vietnam during the first six months of 2001. The report indicated that hearing disorders and respiratory problems caused by workplace noise and dust are the most common occupational health hazards. See " Dangerous <[http://www.bmck.com/gel/articles/Vietnam-Dangerous Workplace.doc](http://www.bmck.com/gel/articles/Vietnam-Dangerous%20Workplace.doc)> Workplace." <<mailto:fred.burke@bakernet.com>> fred.burke@bakernet.com or <<mailto:oliver.massmann@bakernet.com>> oliver.massmann@bakernet.com Alert Date: 8/15/01

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DE - FOREIGN IT WORKERS AFFECTED BY GERMAN SLOWDOWN: On August 2, 2001, the Green Card Initiative celebrated its one year anniversary, but already foreign IT experts lured to Germany through the program are being faced with lay-offs that may force them to leave the country. See " Green Card Initiative <http://www.internetnews.com/intl-news/article/0,,6_857911,00.html> ." <<mailto:markus.kappenhagen@bakernet.com>> markuskappenhagen@bakernet.com or <<mailto:andre.sayatz@bakernet.com>> andre.sayatz@bakernet.com Alert Date: 8/15/01

DE - germimmigrationGERMANY AND THE IMMIGRATION DEBATE: On August 3, 2001, the Interior Minister of Germany presented the government's draft immigration law to parliament. The draft of the new law ignited debates over this highly controversial issue. See " German Immigration <<http://www.dwelle.de/english/topstory/20010803.html>> ." <<mailto:guenther.heckelmann@bakernet.com>> guenther.heckelmann@bakernet.com or <<mailto:betsy.morgan@bakernet.com>> betsy.morgan@bakernet.com Alert Date: 8/15/01

DE - disabledGERMANY STRENGTHENS THE RIGHTS OF SEVERELY DISABLED EMPLOYEES:

Germany recently enacted legislation to promote the integration of individuals with disabilities into the workplace. The law grants a compensation of up to three monthly salaries if an individual with a

disability is denied a job or subject to workplace discrimination. See "

Rights Of Severely Disabled Employees

<<http://www.bmck.com/gel/articles/Germany - Strengthens The Rights Of Severely Disabled Employees.doc>> ." <<mailto:Alexander.wolff@bakernet.com>>
alexander.wolff@bakernet.com or <<mailto:jaqueline.piran@bakernet.com>>
jaqueline.piran@bakernet.com Alert Date: 8/15/01

DE - HOME OFFICE ALLOWANCE FOR EMPLOYEES IS TAXABLE: Teleworkers and field workers often use private rooms for office work. According to a recent decision of the Hamburg Financial Court, allowances paid to the employee by the employer for the use of a home office are subject to wage taxes. The court stated that such allowances could not be considered to be tax exempted as other reimbursements, but would constitute part of the employees taxable remuneration. See " Home Office Allowance

<<http://www.handelsblatt.com/hbiwwwangebot/fn/reihbi/sfn/buildhbi/cn/GoArt!200014,201174,448626/SH/0/depot/0/index.html>> ." <<mailto:jacqueline.piran@bakernet.com>> jacqueline.piran@bakernet.com or <<mailto:guenther.heckelmann@bakernet.com>> guenther.heckelmann@bakernet.com
Alert Date: 8/15/01

DE - NO REINSTATEMENT CLAIM ONE YEAR AFTER TERMINATION: The German Federal Labor Court recently overruled a deviating decision of a district labor court, and held that an employee who has been terminated due to long-term illness has no right to reinstatement after recovery, if such recovery occurs one year after his termination. In the case, the employee had been terminated for long term illness. One year after the termination date, he recovered and claimed for reinstatement. According to the German Federal Labor Court, after such long time reinstatement cannot be claimed anymore. See " Reinstatement <<http://www.bundesarbeitsgericht.de/>> Ruling."

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Date: 8/15/01

DE - CHANGE OF PARENTAL LEAVE RULES: Effective August 1, 2001, employees can demand an unpaid leave for up to three years not only after the birth of an own child or a child of his or her spouse, but now also if they live in an household with a child of his or her partner (to whom the employee is not married). Parental leave under German law requires that the employee takes care for the education of the child. See " Parental Leave

<http://www.bmfsfj.de/top/sonstige/Aktuelles/ix4748_27124.htm?script> ." <<mailto:markus.kappenhagen@bakernet.com>> markus.kappenhagen@bakernet.com or <<mailto:jacqueline.piran@bakernet.com>> jacqueline.piran@bakernet.com Alert
Date: 8/15/01

DE - headhunterCOURT ALLOWS HEADHUNTERS TO CALL CANDIDATES AT THEIR WORKPLACE: A recent decision of the Karlsruhe Higher Civil Court of Appeals may bring relief to recruiters in Germany. A decision of the Stuttgart Civil Court of Appeals in late 1999 had disturbed the whole industry; the court had held that it is a violation of unfair competition rules if a recruitment consultant calls employees at the workplace to offer them a job on behalf of a competitor. Now, the Karlsruhe Civil Court of Appeals has decided that

such a call does not violate the employer's right and that such calls are permissible. It is likely that the Civil High Court will have the final say in this matter. See " Headhunter Ruling <<http://www.olg-karlsruhe.de/>> " <<mailto:markus.kappenhagen@bakernet.com>> markus.kappenhagen@bakernet.com or <<mailto:jacqueline.piran@bakernet.com>> jacqueline.piran@bakernet.com Alert Date: 8/15/01

ES - VICTORIOUS WORKERS END MADRID SQUAT: On August 5, 2001, Spain's longest industrial dispute ended with a celebration by workers as telephone technicians won a promise of eleven months back pay. See " Workers Victorious <<http://www.guardian.co.uk/international/story/0,3604,532323,00.html>> ." <<mailto:pilar.tellez@bakernet.com>> pilar.tellez@bakernet.com or <<mailto:alex.valls@bakernet.com>> alex.valls@bakernet.com Alert Date: 8/15/01

FR - smugglersFRENCH COURT JAILS PEOPLE SMUGGLERS: A French court recently jailed a German couple for attempting to smuggle Pakistani men into Britain by hiding them in the back of a van. See " People Smugglers <<http://www.thetimes.co.uk/article/0,,3-2001273062,00.html>> ." <<mailto:gilles.jolivet@bakernet.com>> gilles.jolivet@bakernet.com or <<mailto:christine.lagarde@bakernet.com>> christine.lagarde@bakernet.com Alert Date: 8/15/01

FR - FRANCE REFLECTS SLOWDOWN AS THE JOBLESS RATE RISES: On August 1, 2001, the Institute of Economics and Statistics released data concluding that France faces its first jobless rate rise in three years and is struggling in the midst of an economic slowdown. See " France Reflects Slowdown <<http://www.ciol.com/content/news/repts/101080106.asp>> ." <<mailto:Denise.broussal@bakernet.com>> denise.broussal@bakernet.com or <<mailto:gilles.jolivet@bakernet.com>> gilles.jolivet@bakernet.com Alert Date: 8/15/01

IE - FOOD PRICES SHOULD REFLECT INCREASED MANUFACTURING COSTS: On August 3, 2001, the Irish Business and Employers Confederation's Director of Sectors published an article in the Irish Times exploring public response to the Foot and Mouth Disease crisis and highlighting the importance of the Food and Drink Sector to the Irish Economy. See " Foot and Mouth Crisis <<http://www.ibec.ie/IBEC/press/PressPublicationsdoclib3.nsf/InternetSearch/0758CB931066758F80256A0D0045DCB6?OpenDocument>> ." <<mailto:ellen.temperton@bakernet.com>> ellen.temperton@bakernet.com or <<mailto:christine.obrien@bakernet.com>> christine.obrien@bakernet.com Alert Date: 8/15/01

IE - UNEMPLOYMENT REMAINS STABLE AT 3.6%: The Irish Business and Employers Confederation recently announced that the unemployment rate in Ireland has remained stable in the last eight months, and that prospects for workers are improving. See " IBEC Statistics <<http://www.ibec.ie/ibec/Press/PressPublicationsdoclib3.nsf/966008fe067c28d8802569420055bc17/91c55125fb16391c80256a9d005d620c?OpenDocument>> ." <<mailto:jenny.andrews@bakernet.com>> jenny.andrews@bakernet.com or <<mailto:alexey.armitage@bakernet.com>> alexey.armitage@bakernet.com Alert

Date: 8/15/01

IE - BREACHES OF LABOUR RULES ON TWO SHIPS HIGHLIGHTED: On August 1, 2001, the International Transport Worker's Federation announced it had discovered two ships in breach of International Labour Organisation rules since it began its "Week of Action." See " Labour Rules Breached <<http://www.ireland.com/newspaper/ireland/2001/0802/hom8.htm>> ." <<mailto:nigel.moss@bakernet.com>> nigel.moss@bakernet.com or <<mailto:jenny.andrews@bakernet.com>> jenny.andrews@bakernet.com Alert Date: 8/15/01

IT - NEW CODE OF CONDUCT FOR LABOUR INSPECTORS: With the declared purpose to set forth a standard code of conduct for labour inspectors, the Italian Labour Ministry recently released circular No. 70 (dated July 16, 2001), which provides basic guidelines for inspections at the employer's premises. Though this code is mainly conceived as an instrument for the labour inspectors' use, it also reflects the effort of the Labour Ministry <<http://www.minlavoro.it/>> to make labour inspections as much objective and transparent as possible. <<mailto:massimiliano.biolchini@bakernet.com>> massimiliano.biolchini@bakernet.com or <<mailto:paolo.soo.invernizzi@bakernet.com>> paolo.soo.invernizzi@bakernet.com Alert Date: 8/15/01

IT - leaveMATERNITY/FAMILY ALLOWANCE: With a circular dated July 16, 2001, No. 143, the Italian Social Security Agency recently issued instructions and guidelines on maternity and family allowance. The circular sets forth the requirements to be met either by mothers or fathers, the amount of the allowance due, the form to be used for the application, and the relevant terms of payment by the Social Security Agency <<http://www.minlavoro.it/>> (INPS). <<mailto:massimiliano.biolchini@bakernet.com>> massimiliano.biolchini@bakernet.com or <<mailto:paolo.soo.invernizzi@bakernet.com>> paolo.soo.invernizzi@bakernet.com Alert Date: 8/15/01

IT - AN EMPLOYMENT AGREEMENT CAN BE TERMINATED BY THE RELEVANT CONDUCT OF THE PARTIES: The Italian Supreme Court recently ruled that an employment contract can be terminated by way of mutual consent, even in the case where the consent is not expressed by written statement but by a relevant conduct of the parties, as is the case when a long time has passed by after the interruption of the relationship and the parties' conduct reflect the total lack of interest of both parties to continue the relationship. See " Employment Contracts <<http://www.minlavoro.it/>> ." <<mailto:massimiliano.biolchini@bakernet.com>> massimiliano.biolchini@bakernet.com or <<mailto:paolo.soo.invernizzi@bakernet.com>> paolo.soo.invernizzi@bakernet.com Alert Date: 8/15/01

IT - REPLACEMENT OF SECONDED EMPLOYEES ON A FIXED-TERM BASIS: The Italian Labour Ministry <<http://www.minlavoro.it/>> recently clarified that in case of temporary secondment of an employee to an affiliated company belonging to the same group, another employee can be hired on a fixed-term contract for the same length of time to replace the former in his or her vacant job

position until the secondment expires.

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Date: 8/15/01

RU - SPECIAL COURT FOR LABOUR DISPUTES WILL OPEN SOON: On August 6, 2001, Russian Labour Minister Alexander Pochinok announced that a special court for labour disputes will open next month as a pilot project meant to pave the way for a New Labour Code once it is passed into law. Mr. Pochinok said that about 2 million labour violations were registered by 4,500 inspectors last year and the regular courts are unable to sort out all of these disputes. The specialized labour court will be located in Moscow and will operate under the existing Labour Code until the New Labour Code is approved in a final reading of the Russian State Duma. See " Pochinok Plans Pilot Labor Court <<http://www.themoscowtimes.com/stories/2001/08/06/013.html>> ."

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Date: 8/15/01

RU - NORTH KOREA PAYS ITS DEBT TO RUSSIA WITH FREE LABOUR: On August 3, 2001, an official from the Russian Economic Development and Trade Ministry stated that North Korea is paying off its Soviet-era debt to Russia by sending workers to work without pay or for an insignificant salary in labour camps across Siberia. The Economic Development and Trade Ministry officially clarified such workers as "exports," and calculated that they accounted for 90% of all "goods" imported from North Korea every year. According to the official, Pyongyang reduced its US\$3.8 billion debt to Moscow in this way by US\$50.4 million last year. See " Pyongyang Pays Russia With Free Labor <<http://www.themoscowtimes.com/stories/2001/08/06/002.html>> ."

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RU - UNEMPLOYMENT LEVEL DROPS BY 17% IN MOSCOW IN 2001: On August 8, 2001, the Moscow State Statistics Committee reported that the total number of unemployed people in Moscow went down 30% compared to January 1, 2000 and 17% compared to January 1, 2001. At the end of June of 2001, there were 52,900 unemployed people in Moscow, only 33,400 of whom were officially registered. According to statistics, 97% of the active population of Moscow was employed in May of 2001. See " Unemployment Level Drops By 17% In Moscow In 2001 <<http://www.rbcnews.com/free/20010808114805.shtml>> ."

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UA - A WORKFORCE IN TRANSITION: A study by Russia's State Committee for Statistics predicted that within fifty years, Ukraine could experience a shortage of able-bodied people in the workplace. Immigration combined with low birth rates and shortened life expectancy could eventually pose a threat to the viability of the nation's workforce. Illegal immigration to Ukraine

is also a concern as government officials chart labour resources and social costs. See " A <<http://www.thepost.kiev.ua/main/9415>> Work Force In Transition." <<mailto:serhiy.v.corny@bakernet.com>>
serhiy.v.corny@bakernet.com or <<mailto:julia.borozdna@bakernet.com>>
julia.borozdna@bakernet.com Alert Date: 8/15/01

UK - MCDONALD'S FINED FOR CHILD LABOUR: On August 1, 2001, two McDonald's restaurants in one of Great Britain's wealthiest areas were fined ?12,400 for allegedly exploiting child workers. This is thought to be one the largest fines imposed on a company for allegedly breaking laws related to child working conditions. See " McDonalds Fined <<http://www.guardian.co.uk/Archive/Article/0,4273,4231649,00.html>> ." <<mailto:michael.ingle@bakernet.com>> michael.ingle@bakernet.com or <<mailto:nigel.moss@bakernet.com>> nigel.moss@bakernet.com Alert Date: 8/15/01

UK - UK AT WORK STILL NOT LISTENING: According to the Aon Loyalty Institute's annual study of workplace commitment, British employers are focusing in on the wrong priorities when attracting and retaining talent. See " Workplace Study <<http://www.shrmglobal.org/publications/personneltoday/0601.htm>> ." <<mailto:michael.ingle@bakernet.com>> michael.ingle@bakernet.com or <<mailto:ellen.temperton@bakernet.com>> ellen.temperton@bakernet.com Alert Date: 8/15/01

UK - EMPLOYER HEALTH PLANS OUTDATED: A recent survey concluded that many UK employer-sponsored health insurance plans favor married couples over their unmarried counterparts. The survey revealed that a significant number of healthcare plans appear to be out of touch with current social trends. See " UK Health Care <<http://www.businessinsurance.com/editorial/updates.php3?action=view&id=2300>> ." <<mailto:christine.obrien@bakernet.com>> christine.obrien@bakernet.com or <<mailto:michael.ingle@bakernet.com>> michael.ingle@bakernet.com Alert Date: 8/15/01

UK - COMPANY CONVICTED OF MANSLAUGHTER: A construction company was recently convicted of causing the death of a crew foreman while on the job. The company pled guilty to manslaughter and to breaching health and safety law. See " Company Convicted Of Manslaughter <<http://www.businessinsurance.com/editorial/updates.php3?action=view&id=2298>> ." <<mailto:ellen.temperton@bakernet.com>> ellen.temperton@bakernet.com or <<mailto:jenny.andrews@bakernet.com>> jenny.andrews@bakernet.com Alert Date: 8/15/01

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BH - visaGRACE PERIOD FOR FREE VISA WORKERS BEGINS: On August 1, 2001, the six-month grace period for "free visa" workers began as Bahrain's Ministry of Labour and Social Affairs set out to implement a new order to organize the local transfer cases for expatriate workers and regulate the country's labour force. See " Grace Period <<http://www.bah-molsa.com/english/news1-8-2001b.htm>> ." <<mailto:andrew.j.boling@bakernet.com>> andrew.j.boling@bakernet.com or

<mailto:william.j.dorsey@bakernet.com> william.j.dorsey@bakernet.com Alert
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IL - smokingISRAEL INTRODUCES SMOKING BAN: On August 1, 2001, a ban on smoking in public places took effect in Israel. Offices, restaurants, and corridors in all public buildings are now smoke-free zones, except for special smoking areas. See " Smoking Ban
<http://news.findlaw.com/ap_stories/i/1107/8-1-2001/20010801174754060.html>
." <mailto:andrew.j.boling@bakernet.com> andrew.j.boling@bakernet.com or
<mailto:william.j.dorsey@bakernet.com> william.j.dorsey@bakernet.com Alert
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KE - DRIVE TO REVIVE COTTON INDUSTRY: On August 12, 2001, the Kenyan Government outlined measures to revive the ailing textile industry that would employ more than 200,000 people if successful. The campaign would involve 2.1 million acres of land that are available for cotton growing and called on farmers to utilise the existing production and marketing potential. See " Cotton Industry
<<http://allafrica.com/stories/printable/200108080429.html>> ."
<mailto:andrew.j.boling@bakernet.com> andrew.j.boling@bakernet.com or
<mailto:william.j.dorsey@bakernet.com> william.j.dorsey@bakernet.com Alert
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ZA - MOTOR STRIKE OPENS DIVISIONS AND UNION TOLD TO ACCEPT EMPLOYERS' OFFER:
On August 8, 2001, a national strike heeded by about 10,000 motor industry workers in the Eastern Cape has reopened cracks between National Union of Metalworkers of South Africa (NUMSA) and the Oil, Chemical and General Allied Workers Union (OCGAWU). NUMSA has encouraged workers to go on strike for a 12% increase, while OCGAWU urged workers to return to work and accept a 7.5% increase. See " Motor Strike
<<http://allafrica.com/stories/printable/200108080316html>> ."
<mailto:andrew.j.boling@bakernet.com> andrew.j.boling@bakernet.com or
<mailto:william.j.dorsey@bakernet.com> william.j.dorsey@bakernet.com Alert
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ZA - AFRICAN NATIONAL CONGRESS FACES THE REBELLION: On August 2, 2001, the leadership of the African National Congress (ANC) announced its anger at renewed criticism at its economic policies, both from within the ANC and by its union and communist allies. See " ANC
<<http://www.fm.co.za/01/0803/currents/acurrent.htm>> Faces The Rebellion."
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AR - ARGENTINIAN ROADS BLOCKED IN PROTESTS OVER ECONOMY: On August 6, 2001, thousands of state workers and unemployed people blocked roads across Argentina protesting government austerity plans. The road blocks are the latest fiasco as Argentina begins its fourth year of recession, with an unemployment rate of more than 16%. See " Argentinian Road Block
<http://www.ananova.com/business/story/sm_364429.html> ."

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AR - ARGENTINES PROTEST AGAINST PAY CUTS: On August 11, 2001, Argentina's state workers continued to strike against President Fernando De la Rúa's decision to cut government salaries and pensions by 13%. The cuts are part of an effort to prevent the country from defaulting on its debt and to allay concerns of possible currency devaluation. See " State Worker Protest <http://news.bbc.co.uk/hi/english/world/americas/newsid_1481000/1481313.stm> ." <mailto:carlos.dodds@bakernet.com> carlos.dodds@bakernet.com or <mailto:micaela.geiderman@bakernet.com> micaela.geiderman@bakernet.com Alert Date: 8/15/01

AR - NEW ZERO-DEFICIT PLAN LAW: Argentina recently passed Law 25,453 which suspends enforcement of the increase in the computable personal deduction established by Executive Order 860/2001. The recent modification of Executive Order 81420/01 established the new employers' contribution rates. See " Employer Contribution <<http://www.bmck.com/gel/articles/Argentina-Zero-Deficit-Plan.doc>> ." <mailto:Carlos.dodds@bakernet.com> carlos.dodds@bakernet.com or <mailto:maria.oliver@bakernet.com> maria.oliver@bakernet.com Alert Date: 8/15/01

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CA - CANADIAN DAY TRADER SETTLES CLAIMS OVER LUCENT POSTINGS: The U.S. Securities & Exchange Commission recently settled fraud charges against Fred Moldofsky, a day trader accused of posting fake press releases on the Internet. Moldofsky, a Canadian citizen, had claimed that Lucent Technologies would not meet earnings projections. In March of 2001, Moldofsky was separately convicted by a jury on criminal charges of securities fraud for the Lucent postings and is scheduled to be sentenced in September of 2001. See " Lucent Internet Postings <<http://www.siliconvalley.com/docs/news/tech/052885.htm>> ." <mailto:stewart.saxe@bakernet.com> stewart.saxe@bakernet.com or <mailto:neal.sommer@bakernet.com> neal.sommer@bakernet.com Alert Date: 8/15/01

CA - NEW BRUNSWICK'S NURSING HOME WORKERS ON STRIKE: On August 12, 2001, the 2,500 members of the New Brunswick Council of Nursing Home Workers walked off the job after continuous demands to end short staffing and work overload. See " Nursing Home Workers Strike <<http://www.cupe.ca/mediaroom/newsreleases/showitem.asp?id=3156&cl=1>> ." <mailto:kevin.b.coon@bakernet.com> kevin.b.coon@bakernet.com or <mailto:m.lisa.kirby@bakernet.com> m.lisa.kirby@bakernet.com Alert Date: 8/15/01

CA - THE CASE FOR ADOPTING A SHORTER WORK WEEK: A workplace consultant has recently examined the possibility of a four-day work week in Canada. He claims that Canada could follow Europe's lead by increasing productivity and living standards while allowing its citizens to spend less time at work and more time on other priorities. See " Four Day Work Week <<http://www.ottawacitizen.com/national/010808/5055205.html>> ."

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8/15/01

CA - TINKERING WILL NOT MAKE NAFTA A DEMOCRATIC DEAL: On August 1, 2001, the Council of Canadians and the Canadian Union of Postal Workers reacted to modest changes in NAFTA's investment rules. The organizations criticized the trade deal by announcing that cosmetic reforms will do nothing to correct the problems that NAFTA's Chapter 11 has created by granting corporations the right to sue governments. See " NAFTA Chapter 22
<<http://www.newswire.ca/releases/August2001/01/c6626.html>> ."
<mailto:william.r.watson@bakernet.com> william.r.watson@bakernet.com or
<mailto:allan.h.turnbull@bakernet.com> allan.h.turnbull@bakernet.com Alert Date: 8/15/01

CA - ONTARIO NURSING SHORTAGE EASING: On August 7, 2001, Ontario's health minister released a progress report stating that the province's nursing crisis is easing because of the government's increased financial commitment to the profession. See " Joint Provincial Nursing Committee
<<http://www.newswire.ca/government/ontario/english/releases/August2001/07/c7788.html>> ."
<mailto:carol.patterson@bakernet.com> carol.patterson@bakernet.com or <mailto:cheryl.j.elliott@bakernet.com> cheryl.j.elliott@bakernet.com Alert Date: 8/15/01

MX - FOX TO BAN U.S. TRUCKS IN MEXICO: On August 2, 2001, President Vicente Fox said he would bar American trucks from Mexico until Mexican truckers are allowed on U.S. highways. Mexico has not allowed U.S. trucks to enter Mexican territory since February of 2001, when a NAFTA arbitration panel ruled the U.S. was violating the treaty, which was to open the two countries up to unrestricted truck traffic. See " Mexico-U.S. Trucking Dispute
<http://news.findlaw.com/ap_stories/i/1102/8-3-2001/20010803023829480.html> ."
<mailto:francisco.j.legarreta@bakernet.com> francisco.j.legarreta@bakernet.com or <mailto:hector.granados@bakernet.com> hector.granados@bakernet.com Alert Date: 8/15/01

MX - MEXICAN LABORERS TESTIFY THEY WERE BEATEN AFTER PROMISED CHANCE TO WORK: On August 6, 2001, two Mexican laborers testified they were attacked with knives and shovels after being tempted to an abandoned building by promises of work. The testimony surfaced in a criminal case in New York. Prosecutors accuse the defendants of planning an attack because of employment discrimination toward Mexicans. See " Mexican Laborers Beaten
<http://news.findlaw.com/ap_stories/l/0000/8-7-2001/20010807020332100.html> ."
<mailto:luis.g.villazon-mendez@bakernet.com> luis.g.villazon-mendez@bakernet.com or
<mailto:allejandro.resendiz-tellez@bakernet.com> allejandro.resendiz-tellez@bakernet.com Alert Date: 8/15/01

MX - MEXICO MAQUILADORA EMPLOYMENT FELL IN MAY OF 2001: The Mexican Government's statistics agency recently released a report concluding that employment in Mexico's maquiladora export sector, which imports raw materials and turns them into finished goods for export, fell 2.9 percent in May of 2001 from the same month one year ago.

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m.rosario.lombera-gonzalez@bakernet.com Alert Date: 8/15/01

US - REDUCTION IN HOURS MAY GIVE EMPLOYEE CAUSE TO QUIT AND RECEIVE UNEMPLOYMENT COMPENSATION: In Florida, as in most states, an employee who quits his or her job for "good cause attributable to the employer" is entitled to unemployment compensation. In a recent decision, Florida's Fourth District of Appeals held that the employer's reduction in the employee's work hours to six hours per day may constitute "good cause" for the employee to quit even though the employer did not guarantee the employee a specific number of hours at the time of hire. See " Manning v. State of <<http://www.4dca.org/opfrm.html>> Florida Unemployment Appeals Commission." <mailto:richard.tuschman@bakernet.com> richard.tuschman@bakernet.com or <mailto:frank.henry@bakernet.com> frank.henry@bakernet.com Alert Date: 8/15/01

US - THREE OFFENSIVE UTTERANCES DO NOT CREATE A HOSTILE WORK ENVIRONMENT: Three offensive utterances by a co-worker over a one month period, including two statements of a racial nature, do not create a hostile work environment in violation of Title VII of the Civil Rights Act of 1964, according to a recent decision by the U.S. Court of Appeals for the Seventh Circuit. Affirming the district court's ruling in favor of the employer, the Seventh Circuit held that regardless of the plaintiff's subjective beliefs, her co-worker's statements did not rise to the level of an objectively hostile work environment. See " Logan v. Kautex Textron North America <<http://www.ca7.uscourts.gov/fox/foxweb.exe/Op3?submit1=showop&caseno=00-3128>> ." <mailto:kevin.s.simon@bakernet.com> kevin.s.simon@bakernet.com or <mailto:craig.r.annunziata@bakernet.com> craig.r.annunziata@bakernet.com Alert Date: 8/15/01

US - strikingLAID-OFF WORKERS ARE STRIKING BACK: As the U.S. economy continues to stagnate and lay-offs proliferate, some workplace experts say it is becoming more important than ever for employers to be vigilant against retaliation by the people they are letting go. Workplace violence and acts of industrial sabotage are the prime concerns. See " Laid-Off Workers Get Revenge <<http://tm0.com/IHT/sbct.cgi?s=117635315&i=372053&d=1605510>> ." <mailto:gerald.l.maatman@bakernet.com> gerald.l.maatman@bakernet.com or <mailto:brian.s.arbetter@bakernet.com> brian.s.arbetter@bakernet.com Alert Date: 8/15/01

US - INDUSTRIAL SPY ACCUSED OF STEALING TRADE SECRETS: The U.S. Federal Bureau of Investigation recently accused Xingkun Wu, a former Corning scientist, of espionage for allegedly downloading product-design documents from his computer before resigning from Corning in April of 2001. The U.S. Economic Espionage Act of 1996 makes theft of proprietary economic information a felony punishable by a US\$10 million fine and a 15-year prison sentence. FBI agents believe that Wu may have returned to his native China. See " Industrial Espionage <<http://news.cnet.com/news/0-1004-200-6746982.html>> ." <mailto:william.l.schaller@bakernet.com> william.l.schaller@bakernet.com or

<mailto:john.m.murphy@bakernet.com> john.m.murphy@bakernet.com Alert Date: 8/15/01

US - CHRISTIAN COALITION ORDERED BY COURT NOT TO RETALIATE: The U.S. District Court for the District of Columbia issued a preliminary injunction recently ordering the Christian Coalition of America Inc. not to retaliate against nine African-American current and former employees who are suing for race discrimination. The employees claimed that the coalition cut their work hours dramatically, forcing several of them to quit in retaliation for their discrimination lawsuit. The issuance of such an injunction is exceedingly rare in employment discrimination lawsuits. See " Lee v. Christian Coalition." <<http://www.dcd.uscourts.gov/01-405.doc>> Coalition." <mailto:robert.p.lewis@bakernet.com> robertp.lewis@bakernet.com or <mailto:lauerence.e.stuart@bakernet.com> lauerence.e.stuart@bakernet.com Alert Date: 8/15/01

US - EMPLOYEE ARBITRATING COMMON LAW CLAIMS MUST PAY ARBITRATION FEES: The U.S. Court of Appeals for the District of Columbia held recently that a 1997 ruling that exempted employees who agreed to arbitrate federal statutory claims from paying certain arbitration fees did not extend to employees' common law claims rooted in public policy. See " Brown v. Wheat First Securities Inc." <<http://pacer.cadc.uscourts.gov/common/opinions/200107/00-7171a.txt>> " <mailto:gerald.l.maatman@bakernet.com> gerald.l.maatman@bakernet.com or <mailto:jill.s.walschlager@bakernet.com> jill.s.walschlager@bakernet.com Alert Date: 8/15/01

US - UNIVERSITY EMPLOYEE FIRED OVER MP3 FILES: On August 2, 2001, Northwestern University fired an employee after tech support found 2,000 MP3 files on her office computer. The university was tipped off by ex-Beatle George Harrison's music publishers who traced downloads to the employee's computer. <mailto:micheal.j.wagner@bajernet.com> micheal.j.wagner@bajernet.com or <mailto:andrew.j.boling@bakernet.com> andrew.j.boling@bakernet.com Alert Date: 8/15/01

US - OSHA LISTS EMPLOYERS WITH HIGHEST INJURY RATES: On August 3, 2001, the U.S. Occupational Safety and Health Administration (OSHA) electronically published a list of <http://www.osha-slc.gov/as/opa/foia/hot_7.html> 14,000 employers who received notices that their reported workplace injury rate for 1999 was unusually high. OSHA stated that these employers reported eight or more injuries and illnesses resulting in lost workdays for every 100 full-time workers. Of the 14,000 workplaces notified, OSHA intends to inspect approximately 1,000 facilities. OSHA also noted that state agencies may conduct additional inspections of listed employers at their discretion. See " OSHA Employer Injury Listing <<http://www.osha.gov/media/oshnews/aug01/trade-20010803.html>> ." <mailto:brian.s.arbetter@bakernet.com> brian.s.arbetter@bakernet.com or <mailto:peter.j.gillespie@bakernet.com> peter.j.gillespie@bakernet.com Alert Date: 8/15/01

US - OSHA ANNOUNCES PROGRAM TO SAFEGUARD SHIPBREAKING WORKERS: On August 2,

2001, the U.S. Occupational Safety and Health Administration (OSHA) announced the creation of a new national emphasis program directed towards employees involved in dismantling ships. Pursuant to a November 16, 1999 Memorandum of Agreement <http://www.osha-slc.gov/MOU_data/MOU19991116.html> with the U.S. Departments of Defense and Transportation, and the Environmental Protection Agency, OSHA issued compliance directive CPL 2-0.129 <http://www.osha-slc.gov/OshDoc/Directive_data/CPL_2-0_129.html> , which identifies 19 hazardous workplace activities on which the agency will focus its inspections. These hazards include exposure to PCBs, lead, asbestos, confined spaces, and paint removal. See " OSHA Ship Inspections <<http://www.osha.gov/media/oshnews/aug01/trade-20010802.html>> ." <<mailto:brian.s.arbetter@bakernet.com>> brian.s.arbetter@bakernet.com or <<mailto:peter.j.gillespie@bakernet.com>> peter.j.gillespie@bakernet.com Alert Date: 8/15/01

US - MICROSTRATEGY SUES FORMER EXECUTIVE: Microstrategy has recently filed suit against eGrail and CEO Joseph Payne, MicroStrategy's former marketing executive, claiming that Payne violated the terms of an employment contract. It is seeking up to US\$11.5 million in damages. See " MicroStrategy Sues For Employment Contract Violation <<http://www.newsbytes.com./news/01/168584.html>> ." <<mailto:andrew.b.cripe@bakernet.com>> andrew.b.cripe@bakernet.com or <<mailto:ben.a.neiburger@bakernet.com>> ben.a.neiburger@bakernet.com Alert Date: 8/15/01

US - TREASURY TO OFFER 401(K) 'CATCH-UP' GUIDANCE: The U.S. Treasury Department recently announced it expects to publish guidance within 90 days to help employers comply with a key provision in the new tax law that will allow older employees to make "catch-up" contributions to their 401(K) plans. See " 401(K) Catch Up <<http://www.businessinsurance.com/editorial/updates.php3?action=view&id=2266>> ." <<mailto:kerry.r.weinger@bakernet.com>> kerry.r.weinger@bakernet.com or <<mailto:maura.ann.mcbreen@bakernet.com>> maura.ann.mcbreen@bakernet.com Alert Date: 8/15/01

US - LAWSUIT FILED TO BLOCK REFERENDUM ON GAY RIGHTS BILL: Supporters of a new Maryland law banning discrimination against homosexuals recently filed a lawsuit seeking to prevent a vote on the law in the 2002 general election. The suit claims that local election boards certified invalid signatures that have currently stopped enforcement of the law. The law prohibits any type of employment discrimination on the basis of sexual orientation. See " Gay Rights Bill <http://news.findlaw.com/ap_stories/1/0000/7-31-2001/20010731050957950.html> ." <<mailto:steve.a.miller@bakernet.com>> steve.a.miller@bakernet.com or <<mailto:jonathan.e.hyun@bakernet.com>> jonathan.e.hyun@bakernet.com Alert Date: 8/15/01

US - BUSH STRIKES PATIENTS' RIGHTS DEAL: On August 2, 2001, U.S. President Bush and Rep. Charles Norwood (R-Georgia), reached an agreement on a patients' rights bill. Bush and Norwood agreed to compromise on the issue of where workers may sue their employer-provided health plans. See " Patient

Bill Of Rights

<<http://www.plansponsor.com/eprise/main/PlanSponsor/News/Rules/pborhouseappr-oval0802>> ." <<mailto:mark.l.karasik@bakernet.com>>
mark.l.karasik@bakernet.com or <<mailto:brian.s.arbetter@bakernet.com>>
brian.s.arbetter@bakernet.com Alert Date: 8/15/01

US - MENTAL HEALTH PARITY COVERAGE TO COST US\$1.32 PER MONTH: On August 1, 2001, PricewaterhouseCoopers completed an actuarial analysis of the Mental Health Equitable Treatment Act of 2001. The analysis concluded that mental health coverage on par with physical health coverage would cost employers only 1 percent, or US\$1.32 per enrollee, per month. The U.S. Surgeon General has said there is no scientific justification for treating mental health benefits differently from other benefits. See " Mental Health Coverage <<http://news.excite.com/news/pr/010801/dc-asa-health-parity>> ." <<mailto:brian.k.wydajewski@bakernet.com>> brian.k.wydajewski@bakernet.com or <<mailto:charles.r.topping@bakernet.com>> charles.r.topping@bakernet.com Alert Date: 8/15/01

US - ALLSTATE FACES TERMINATION SUIT: On August 1, 2001, twenty seven former and current Allstate insurance agents filed a class action wrongful termination suit alleging that the company let go 6,400 employees to cut costs on benefits and to rid it of employees over 40 years old. The lawsuit is filed in U.S. District Court in Philadelphia. See " Allstate Class Action <http://www.chicagobusiness.com/cgi-bin/news.pl?post_date=2001-08-02&id=2998> ." <<mailto:kevin.s.simon@bakernet.com>> kevin.s.simon@bakernet.com or <<mailto:jill.walschalager@bakernet.com>> jill.s.walschalager@bakernet.com Alert Date: 8/15/01

US - HEALTH EDUCATION AND PREVENTATIVE CARE ON THE RISE: A recent study surveying 1,020 U.S. companies concluded that an increasing number of American employers are turning to education and preventative measures to control rising health care costs. The study asserts that 92 percent of United States-based companies currently offer some kind of health promotion program. See " Health Promotion/Managed Health Provided By Major U.S. Employers In 2000." <<http://was.hewitt.com/hewitt/resource/newsroom/pressrel/2001/07-24-01.htm>> <<mailto:gina.l.knight@bakernet.com>> gina.l.knight@bakernet.com or <<mailto:carole.a.spink@bakernet.com>> carole.a.spink@bakernet.com Alert Date: 8/15/01

US - COURT REJECTS ADA DISCRIMINATION CLAIM BASED ON COGNITIVE PROBLEM CAUSED BY CHEMOTHERAPY: The U.S. Court of Appeals for the First Circuit ruled recently that a secretary could not prevail on her ADA claim because her cognitive impairment, caused by chemotherapy, was mild, reversible, and short lived. To prevail, the employee would have to establish the impairment was profound enough and of sufficient duration, given the nature of her impairment, to hamper her ability to work or to learn. According to the court, the record did not support either restriction. See " Whitney v. Greenberg, Rosenblatt, Kull <<http://caselaw.lp.findlaw.com/cgi-bin/getcase.pl?court=1st&navby=case&no=002319>> & Bitsoli." <<mailto:steve.a.miller@bakernet.com>> steve.a.miller@bakernet.com or <<mailto:michael.a.cox@bakernet.com>>

michael.a.cox@bakernet.com Alert Date: 8/15/01

US - "PREDATOR" OR "INTERESTED MAN" MAY BE HARASSER: The U.S. Court of Appeals for the Fourth Circuit ruled recently that an employee who failed to take advantage of her employer's sexual harassment complaint policy could not hold the employer liable for sexual harassment. The court rejected the maintenance worker's argument that she delayed reporting her supervisor's sexual advances until she could decide whether he was a "predator" or merely an "interested man" who could be rebuffed politely. See " Matvia v. Bald Head Island Management Inc

<<http://caselaw.lp.findlaw.com/cgi-bin/getcase.pl?court=4th&navby=case&no=001650P>> ." <<mailto:jill.s.walschlager@bakernet.com>>

jill.s.walschlager@bakernet.com or <<mailto:andrew.b.cripe@bakernet.com>>
andrew.b.cripe@bakernet.com Alert Date: 8/15/01

US - PEO LEGISLATION INTRODUCED IN U.S. CONGRESS: Federal legislation to codify the rights of professional employer organizations (PEO's) was introduced in the U.S. Congress on August 2, 2001. Congressmen Rob Portman (R-OH) and Ben Cardin (D-MD) introduced H.R. 2807 in the House of Representatives and Senators Bob Graham (D-FL) and Chuck Grassley (R-IA) introduced S. 1305 in the U.S. Senate. The bills provide a new safe harbor for PEO's that elect to meet certain certification requirements. Certified PEO's would be permitted to assume liability for employment taxes of worksite employees and to sponsor and offer retirement plans and other benefits to such workers. See " PEO Legislation

<<http://thomas.loc.gov/cgi-bin/query/C?c107:./temp/~c1078x4km4>> ."

<<mailto:gerald.l.maatman@bakernet.com>> gerald.l.maatman@bakernet.com or
<<mailto:jill.s.walschlager@bakernet.com>> jill.s.walschlager@bakernet.com
Alert Date: 8/15/01

US - DEPARTMENT OF LABOR PUBLISHES FINAL RULE TO EASE ALIEN LABOR CERTIFICATION BACKLOGS: On August 3, 2001, the U.S. Department of Labor (DOL) promulgated a proposed final rule to implement changes to the alien labor certification process that will reduce the processing time for new and pending applications at state employment security agencies (SESAs). This rule will authorize SESAs to permit employers to convert pending alien labor certification cases to Reduction in Recruitment Requests, which are given expedited processing at DOL offices. This new approach is also expected to enable the DOL to devote more resources towards the development and implementation of a more efficient alien labor certification processing system. See " DOL <http://www.access.gpo.gov/su_docs/aces/aces140.html> Alien Registration." <<mailto:david.m.serwer@bakernet.com>>

david.mserwer@bakernet.com or <<mailto:betsy.s.morgan@bakernet.com>>
betsy.s.morgan@bakernet.com Alert Date: 8/15/01

US - FAILURE TO KEEP RECORDS OF HOURS WORKED MAY PRECLUDE EMPLOYER FROM PROVING OVERTIME EXEMPTION: In a decision on August 6, 2001, the U.S. Court of Appeals for the Eleventh Circuit ruled that an auto repair shop's practice of paying a painter a "flat rate" depending on the work he performed rather than the hours he worked was a form of commission payment under the Fair Labor Standards Act (FLSA). However, the Eleventh Circuit

held that because the employer failed to maintain records of the hours the employee actually worked, his regular rate of pay could not be determined, and the district court therefore erred in granting summary judgment to the employer under the FLSA's commission payment overtime exemption. See " Klinedinst v. <<http://www.ca11.uscourts.gov/opinions.htm>> Swift Investments, Inc." <<mailto:richard.tuschman@bakernet.com>> richard.tuschman@bakernet.com or <<mailto:neil.mcguinness@bakernet.com>> neil.mcguinness@bakernet.com Alert Date: 8/15/01

US - DOMINGUEZ TAKES OATH AS EEOC CHAIR: On August 6, 2001, Cari M. Dominguez was sworn in as Chair of the U.S. Equal Employment Opportunity Commission (EEOC). Dominguez will serve as the chief executive of the EEOC for a five-year term. See " New EEOC Chair <<http://www.eeoc.gov/press/8-6-01.html>> ." <<mailto:john.m.murphy@bakernet.com>> john.m.murphy@bakernet.com or <<mailto:gerald.l.maatman@bakernet.com>> gerald.l.maatman@bakernet.com Alert Date: 8/15/01

US - USE OF W-2 DEFINITION OF "EMPLOYEE" IN DENYING BEENFITS NOT ARBITRARY: On August 2, 2001, the U.S. Court of Appeals for the Ninth Circuit ruled that a pension plan administrator acted properly when applying the definition of "employee," as used by the Internal Revenue Service, in connection with its W-2 tax withholding form. See " Hensley v. Northwest Permanente P.C. <[http://www.ca9.uscourts.gov/ca9/newopinions.nsf/2457FDB8B7C15C2688256A9C005962B2/\\$file/9935936.pdf?openelement](http://www.ca9.uscourts.gov/ca9/newopinions.nsf/2457FDB8B7C15C2688256A9C005962B2/$file/9935936.pdf?openelement)> " <<mailto:kerry.r.weinger@bakernet.com>> kerry.r.weinger@bakernet.com or <<mailto:maura.ann.mcbreen@bakernet.com>> maura.ann.mcbreen@bakernet.com Alert Date: 8/15/01

US - CONTRACT WITH UNIVERSITY MERITS SAME REVIEW AS SIMILAR PRIVATE CONTRACTS: The Pennsylvania Supreme Court recently ruled that breach of contract claims involving internal university decisions should be given the same review as all private contracts. The ruling arose from a case where a tenured law professor at Duquesne University filed for breach of contract after he was accused of sexual harassment and terminated from the university. See " Murphy v. Duquesne University <<http://www.courts.state.pa.us/opposting/supreme/out/j-38-2001-mo.pdf>> ." <<mailto:mark.l.karasik@bakernet.com>> mark.l.karasik@bakernet.com or <<mailto:charles.r.topping@bakernet.com>> charles.r.topping@bakernet.com Alert Date: 8/15/01

US - INS APPROVED 138,000 PETITIONS FOR H-1B VISAS IN 10 MONTHS: On August 3, 2001, the U.S. Department of Immigration and Naturalization Service announced that approximately 138,000 petitions for H-1B work visas were approved from October 1, 2000 to July 25, 2001. The number of approved petitions is well short of the 195,000 annual cap placed on visa approvals. See " Approved <<http://www.ins.usdoj.gov/graphics/index.htm>> Visa Total Down." <<mailto:betsy.s.morgan@bakernet.com>> betsys.morgan@bakernet.com or <<mailto:lynda.s.zengerle@bakernet.com>> lynda.s.zengerle@bakernet.com Alert Date: 8/15/01

US - UPCOMING STUDY FINDS WIDE DIFFERENCES AMONG EEOC OFFICES: According to a study scheduled for fall publication in the Kansas Law Review, there is "enormous variation" in the way the U.S. Equal Employment Opportunity Commission's field offices handle discrimination charges under the Americans With Disabilities Act. See " EEOC Critiques
<<http://www.law.umkc.edu/lawresources/lawreview/law.htm>> ."
<<mailto:Jill.s.walschlager@bakernet.com>> jill.s.walschlager@bakernet.com or
<<mailto:andrew.b.cripe@bakernet.com>> andrew.b.cripe@bakernet.com Alert
Date: 8/15/01

US - LAY-OFFS JUMP 65% IN JULY OF 2001: U.S. job cut announcements jumped 65 percent to a record level in July of 2001, led by telecommunications, computer, electronic, and industrial companies. July's total was more than three times the level of job cuts recorded in the same month last year. See " Lay-Offs
<http://www.koreaherald.co.kr/SITE/data/html_dir/2001/08/03/200108030014.asp> ." <<mailto:gerald.l.maatman@bakernet.com>> gerald.l.maatman@bakernet.com
or <<mailto:andrew.j.boling@bakernet.com>> andrew.j.boling@bakernet.com
Alert Date: 8/15/01

US - REFUSING TO REINSTATE EMPLOYEE AFTER MATERNITY LEAVE DID NOT VIOLATE FMLA: On August 1, 2001, the U.S. Court of Appeals for the Seventh Circuit held that a Wisconsin nursing home did not violate the Family and Medical Leave Act when it refused to reinstate its activities director after she took maternity leave. The court found that the employer would have fired her regardless of her taking leave because she mishandled funds and exhibited poor performance. See " Kohls v. Beverly Enter. Wis. Inc
<<http://www.ca7.uscourts.gov/fox/foxweb.exe/Op3?submit1=showop&caseno=00-2064>> ." <<mailto:jill.s.walschlager@bakernet.com>>
jill.s.walschlager@bakernet.com or <<mailto:william.j.dorsey@bakernet.com>>
william.j.dorsey@bakernet.com Alert Date: 8/15/01

US - ADOPTING ANTIDISCRIMINATION POLICY HELD INSUFFICIENT TO INSULATE EMPLOYER FROM PUNITIVE DAMAGES: The U.S. Court of Appeals for the Seventh Circuit recently affirmed a jury's award of punitive damages against an employer in a sexual harassment case in which the evidence showed that the employer had adopted an anti-discrimination policy but did not make good faith efforts to implement it. The court noted that when the employee complained of sexual harassment, her supervisor told her she was "too emotional" and did not put her complaints in writing. The employer also failed to give its employees ready access to its anti-discrimination policy. See " Hertzberg v. SRAM Corporation
<<http://www.ca7.uscourts.gov/fox/foxweb.exe/Op3?submit1=showop&caseno=00-1825>> ." <<mailto:gina.l.knight@bakernet.com>> gina.l.knight@bakernet.com or
<<mailto:craig.r.annunziata@bakernet.com>> craig.r.annunziata@bakernet.com
Alert Date: 8/15/01

US - OSHA HEAD CONFIRMED BY U.S. SENATE: On August 6, 2001, the U.S. Senate voted to confirm John L. Henshaw as the Assistant Secretary of Labor for Occupational Safety and Health. Mr. Henshaw's prior experience includes serving as director of environment, safety, and health for Astaris LLC, a Saint Louis chemical company. During confirmation hearings, Henshaw

suggested that the agency ought to engage in voluntary compliance partnerships with industry in addition to its enforcement efforts. See " OSHA Head Confirmed
<<http://www.osha.gov/media/oshnews/aug01/national-20010806.html>> " and " Balance Is Needed
<http://www.washingtonpost.com/wp-srv/aponline/20010801/aponline190126_000.htm> ." <<mailto:brian.s.arbetter@bakernet.com>> brian.s.arbetter@bakernet.com or <<mailto:peter.j.gillespie@bakernet.com>> peter.j.gillespie@bakernet.com
Alert Date: 8/15/01

US - DEPARTMENT OF HEALTH AND HUMAN SERVICES ISSUES PRIVACY GUIDANCE: The U.S. Department of Health and Human Services (HHS) recently issued the first in a series of comprehensive guidances for the implementation of the comprehensive privacy rules for medical records and personal health information. While most covered entities (including health care providers, health plans, and other entities such as employers) are not required to comply until 2003, the rules are extensive and will require review and planning on the part of those covered. See " HHS Rules
<<http://www.hhs.gov/ocr/hipaa>> ." <<mailto:michael.j.wagner@bakernet.com>> michael.j.wagner@bakernet.com or <<mailto:peter.gillespie@bakernet.com>> peter.gillespie@bakernet.com Alert Date: 8/15/01

US - BENEFIT REGULATIONS DRAW CRITICISM: Witnesses at a recent hearing of the U.S. Internal Revenue Service were critical of several aspects of the temporary regulations and the proposed regulations on excess benefit transactions. The regulations issued under Section 4958 of the Internal Revenue Code would provide guidance for employers on the application of excise taxes on excess benefits transactions. See " Code
<<http://ftp.fedworld.gov/pub/irs-regs/td8705.txt>> Sec. 4958." <<mailto:maura.ann.mcbreen@bakernet.com>> maura.ann.mcbreen@bakernet.com or <<mailto:brian.k.wydajewski@bakernet.com>> brian.k.wydajewski@bakernet.com
Alert Date: 8/15/01

US - UNIONS SUPPORT POLITICAL FUNDS: A recent review of union and government documents shows that labor unions have spent millions of dollars of workers' dues on election-year ads and get-out-the-vote drives while reporting no taxable political expense to the U.S. Internal Revenue Service. See " Unions Don
<http://news.findlaw.com/ap_stories/f/1310/8-7-2001/20010807020523050.html> 't Cite Political Funds." <<mailto:j.richard.hammett@bakernet.com>> j.richard.hammett@bakernet.com or <<mailto:howard.f.fine@bakernet.com>> howard.f.fine@bakernet.com Alert Date: 8/15/01

US - STUDY TO SURVEY COCOA FARMS FOR CHILD SLAVE LABOR: The U.S. Agency for International Development recently announced it will coordinate a survey starting in early fall to survey cocoa farms in West Africa for evidence of child slave labor. Support for the survey grew after reports suggested that cocoa harvested by child slave labor was entering the U.S. chocolate market. See " Cocoa Farm Survey
<<http://www.forbes.com/newswire/2001/06/22/rtr288095.html>> ." <<mailto:andrew.j.boling@bakernet.com>> andrew.j.boling@bakernet.com or

<mailto:jennifer.l.purevich@bakener.com> jennifer.l.purevich@bakener.com

Alert Date: 8/15/01

US - NAFTA PUBLIC FORUM TO HEAR APPLE WORKERS' COMPLAINTS: On August 8, 2001, the U.S. Department of Labor's National Administrative Office hosted a one-day public forum to hear complaints of apple workers in Yakima, Washington. Complaints allege that the State of Washington and federal officials have failed to enforce labor standards and protect apple workers' health and safety. See " Apple Workers Forum

<<http://www.dol.gov/dol/ilab/public/programs/nao/wamailing.htm>> ."

<mailto:renee.s.schor@bakernet.com> renee.s.schor@bakernet.com or

<mailto:scott.w.sigman@bakernet.com> scott.w.sigman@bakernet.com Alert

Date: 8/15/01

US - SURVEY FINDS 16 PERCENT OF U.S. CIVILIANS LACKED HEALTH INSURANCE COVERAGE IN 2000: On August 3, 2001, the U.S. Health and Human Services Department's Agency for Healthcare Research and Quality released a survey concluding that nearly 44 million Americans did not have health insurance in 2000. The data revealed that young adults were at the greatest risk of being uninsured, with 33.1 percent of the working age population 19 to 24 lacking insurance. See " Health Insurance Survey

<<http://www.meps.ahrq.gov/pubdoc/h022/hic2000stats.htm>> ."

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christopher.g.guldborg@bakernet.com or <mailto:andrea.kovar@bakernet.com>

andrea.kovar@bakernet.com Alert Date: 8/15/01

US - URANIUM WORKERS REJECT CONTRACT: On August 3, 2001, workers at U.S. Enrichment Corporation's plant in Kentucky rejected a five year contract proposal from the company, but will not go on strike immediately. The workers seek improved overtime compensation and benefits. See " Uranium Workers Reject Offer

<http://news.findlaw.com/ap_stories/f/1310/8-3-2001/20010803023455990.html>

." <mailto:laurence.e.stuart@bakernet.com> laurence.e.stuart@bakernet.com

or <mailto:brian.s.arbetter@bakernet.com> brian.s.arbetter@bakernet.com

Alert Date: 8/15/01

US - FEW DISABLED WIN BENEFITS: A recent study by the University of North Carolina concluded that U.S. Equal Employment Opportunity Commission (EEOC) rarely wins benefits for disabled workers filing discrimination claims and allows most cases to grow stale. The EEOC, however, responds that past backlogs have been reduced, positive results for claimants have increased, and the study fails to account for cases that have little legal merit. See " Disabled Americans Win Few Benefits

<http://news.findlaw.com/ap_stories/a/w/1155/8-2-2001/20010802060913500.html

> ." <mailto:brian.s.arbetter@bakernet.com> brian.s.arbetter@bakernet.com

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Date: 8/15/01

US - WEA FINED FOR ILLEGAL POLITICAL SPENDING: On August 7, 2001, a court fined the Washington Education Association, the state's largest teachers' union, US\$400,000 for illegally spending fees collected from non-members on

political campaigns. See " WEA Fined

<http://news.findlaw.com/ap_stories//0000/8-1-2001/20010801020612420.html>

" <<mailto:gina.l.knight@bakernet.com>> gina.l.knight@bakernet.com or

<<mailto:ben.a.neiburger@bakernet.com>> ben.a.neiburger@bakernet.com Alert

Date: 8/15/01

US - APPLE COMPUTER SETTLES WITH WORKER OVER INTERNET POSTINGS: Apple

Computer has settled a lawsuit against Juan Gutierrez, a former temporary

worker who allegedly posted company secrets on the Internet under the

pseudonym "worker bee." As part of the settlement, Apple and Gutierrez

jointly agreed that he would turn over any confidential information he still

had in his possession and refrain from sharing any more information he may

have learned during his time at the Mac maker. See " Apple

<<http://news.cnet.com/news/0-1006-200-6804697.html>> Computer Settlement."

<<mailto:william.l.schaller@bakernet.com>> william.l.schaller@bakernet.com or

<<mailto:renee.s.schor@bakernet.com>> renee.s.schor@bakernet.com Alert Date:

8/15/01

US - PENSION REFORM GUIDANCE ON THE WAY: On August 1, 2001, the U.S.

Department of Treasury confirmed that guidance on the new pension reform

provisions will be released by September 1, 2001.

<<mailto:maura.ann.mcbreen@bakernet.com>> maura.ann.mcbreen@bakernet.com or

<<mailto:kerry.r.weinger@bakernet.com>> kerry.r.weinger@bakernet.com Alert

Date: 8/15/01

US - FAILURE TO NOTIFY EMPLOYEES OF METHOD OF CALCULATING FMLA LEAVE CAN

RESULT IN LIABILITY: The Family and Medical Leave Act of 1993 (FMLA) allows

employers to choose among four methods for calculating the twelve month

period in which employees are eligible for twelve weeks of FMLA leave. In a

decision issued on August 8, 2001, the U.S. Court of Appeals for the Ninth

Circuit held that if an employer fails to notify employees of its method of

calculation, "the option that provides the most beneficial outcome for the

employee" must be used to determine whether the employee's absences were

covered by the FMLA. See " Bachelder v. America West Airlines, Inc.

<[http://www.ca9.uscourts.gov/ca9/newopinions.nsf/67738D773800E32388256AA2000](http://www.ca9.uscourts.gov/ca9/newopinions.nsf/67738D773800E32388256AA20001DB0A/$file/9917458.pdf?openelement)

[1DB0A/\\$file/9917458.pdf?openelement](http://www.ca9.uscourts.gov/ca9/newopinions.nsf/67738D773800E32388256AA20001DB0A/$file/9917458.pdf?openelement)> "

<<mailto:richard.tuschman@bakernet.com>> richard.tuschman@bakernet.com or

<<mailto:renee.s.schor@bakernet.com>> renee.s.schor@bakernet.com Alert Date:

8/15/01

US - DESPITE EMPLOYER'S INCLUSION OF MANAGERS ON EMPLOYEE PARTICIPATION

COMMITTEES, NLRB RULES COMMITTEES ARE LAWFUL: In a unanimous decision, the

U.S. National Labor Relations Board recently ruled that an employer's use of

employee participation committees that included management members was

lawful and did not violate the National Labor Relations Act. Key to the

ruling was the fact that the committees did not deal with management in a

bilateral fashion of making proposals that are accepted or rejected by

management. Rather, the committees exercised authority, delegated by

management, to operate the plant within certain parameters. See " Crown Cork

<[http://frwebgate.access.gpo.gov/cgi-bin/getdoc.cgi?dbname=nlr&docid=f:334-](http://frwebgate.access.gpo.gov/cgi-bin/getdoc.cgi?dbname=nlr&docid=f:334-92.pdf)

[92.pdf](http://frwebgate.access.gpo.gov/cgi-bin/getdoc.cgi?dbname=nlr&docid=f:334-92.pdf)> & Seal Co. and Martin Rodriguez."

<mailto:brian.s.arbetter@bakernet.com> brian.s.arbetter@bakernet.com or
<mailto:steven.e.miller@bakernet.com> steven.e.miller@bakernet.com Alert
Date: 8/15/01

US - AFL-CIO SURVEY SHOWS THAT HALF OF AMERICAN WORKERS BELIEVE THAT U.S. PRESIDENT BUSH FAVORS EMPLOYERS OVER EMPLOYEES: In a survey recently released by the AFL-CIO, 49% of surveyed U.S. employees said that they feel that President Bush cares more about employers than workers. 35% said that Bush cares equally about employers and workers, and only 4% said that Bush cares more about workers. See " Workers Don't Trust Bush Administration <http://www.aflcio.org/news/2001/0727_trustpoll.htm> ." <mailto:andrew.b.cripe@bakernet.com> andrew.b.cripe@bakernet.com or <mailto:laurence.e.stuart@bakernet.com> laurence.e.stuart@bakernet.com Alert Date: 8/15/01

US - AFL-CIO IDENTIFIES KEY ISSUES FOR U.S. CONGRESS TO FOCUS ON IN IMMIGRATION REFORM LEGISLATION: The AFL-CIO's Executive Council recently committed itself to a list of principles that it urged the U.S. Congress to include in immigration reform legislation. The list includes the following: (1) a new legislation program should provide undocumented workers and families with permanent legal status; (2) immigrant workers should be afforded the right to organize and form unions; and (3) guestworker programs should not be expanded. See " Immigration Reform <<http://www.aflcio.org/publ/estatemnts/jul2001/immigration.htm>> ." <mailto:brian.s.arbetter@bakernet.com> brian.s.arbetter@bakernet.com or <mailto:andrew.b.cripe@bakernet.com> andrew.b.cripe@bakernet.com Alert Date: 8/15/01

US - LOUISIANA SHIPYARD ORDERED TO PAY US\$10 MILLION AWARD AND REINSTATE WORKERS FIRED DURING 6-YEAR ANTI-UNION CAMPAIGN: In one of the largest awards ever obtained against an employer accused of wrongfully running an anti-union campaign, Louisiana based shipyard Avondale Industries (owned by Northrop Grumman) was recently ordered by an administrative law judge of the National Labor Relations Board (NLRB) to pay US\$10 million in legal fees, back pay, and benefits, and to reinstate 22 workers who were fired during the company's 6-year anti-union campaign. In addition, the employer was ordered to publish the NLRB order in the primary New Orleans newspaper once a week for a month. The case arose out of interrogations, warnings, layoffs and firings conducted by the company after its 4,100 employees voted in 1993 to be unionized by the New Orleans Metal Trades Council. See " Fine For Union Busting <http://www.aflcio.org/news/2001/0719_avondale.htm> ." <mailto:brian.s.arbetter@bakernet.com> brian.s.arbetter@bakernet.com or <mailto:howard.f.fine@bakernet.com> howard.f.fine@bakernet.com Alert Date: 8/15/01

US - TEACHERS UNION EXPANDS FREE LIFE INSURANCE TO INCLUDE "UNLAWFUL HOMICIDE" BENEFIT: In response to recent school shooting incidents, the National Education Association (NEA), representing 2.6 million teachers throughout the United States, recently announced the expansion of the free life insurance that it provides to its members. The expanded coverage includes a \$150,000 "unlawful homicide" benefit. See " Unlawful

<<http://www.insure.com/life/teachers701.html>> Homicide Coverage."
<<mailto:lisa.b.brogan@bakernet.com>> lisa.s.brogan@bakernet.com or
<<mailto:michael.pollard@bakernet.com>> michael.a.pollard@bakernet.com Alert
Date: 8/15/01

US - DISPARATE IMPACT AVAILABLE FOR AGE BIAS UNDER MICHIGAN LAW: Recently, the Wayne County Circuit Court in Michigan ruled that the disparate impact theory is available in age discrimination cases under the Michigan State Civil Rights Law, which does not distinguish between age and other protected categories such as race, sex, or religion. Thus, the court ruled, the disparate impact theory is available to all protected groups. See " Elliott-Larson Civil Rights Act
<<http://michiganlegislature.org/law/GetObject.asp?objName=Act-453-of-1976>> ."
<<mailto:gerald.l.maatman@bakernet.com>> gerald.l.maatman@bakernet.com or
<<mailto:gina.l.knight@bakernet.com>> gina.l.knight@bakernet.com Alert Date: 8/15/01

US - COURT ALLOWS POSTAL EMPLOYEE TO SUE SUPERVISORS FOR VIOLATION OF FMLA
RIGHTS: On August 1, 2001, the U.S. District Court of the Western District of Kentucky ruled that the Family and Medical Leave Act (FMLA) allows an employee to bring a claim against a supervisor. The court noted that the FMLA's definition of "employer" clearly includes individuals. See " Carter v. USPS <<http://www.kywd.uscourts.gov/html/Opinions/JODsearch.shtml>> ."
<<mailto:william.j.dorsey@bakernet.com>> william.j.dorsey@bakernet.com or
<<mailto:katerina.p.lewinbuk@bakernet.com>> katerina.p.lewinbuk@bakernet.com
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US - CALIFORNIA JUDGE DISMISSES ATTEMPT TO REVEAL ANONYMOUS POSTERS OF INTERNET MESSAGES: On August 10, 2001, a judge in California quashed a subpoena that would have forced Yahoo to reveal the identities of several anonymous posters. Pre-Paid Legal Services Inc. had sought to obtain the identities of the posters pursuant to the subpoena. The company sought to discover if the Internet postings were authored by four former sales agents who are under an injunction issued by a Florida court not to disparage the company. See " Internet <<http://www.newsbytes.com/news/01/168972.html>> Subpoena" and " Online Anonymity <<http://news.cnet.com/news/0-1005-200-6863061.html>> ."
<<mailto:renee.s.schor@bakernet.com>> renee.s.schor@bakernet.com or
<<mailto:michael.j.wagner@bakernet.com>> michael.j.wagner@bakernet.com Alert
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US - settlementEEOC ANNOUNCES US\$3.5 MILLION SETTLEMENT ON BEHALF OF FEMALE HISPANIC WORKERS: On August 8, 2001, the U.S. Equal Employment Opportunity Commission (EEOC) announced a US\$3.5 million settlement of an employment discrimination lawsuit against Quality Art LLC, a defunct picture frame manufacturer based in Gilbert, Arizona. The suit alleged that 35 female and Hispanic low-wage workers, mostly Mexican and Guatemalan, were subjected to widespread sexual harassment, national origin discrimination, and retaliation - including firing and forced resignations and reporting several employees to the Immigration and Naturalization Service for arrest and

deportation after they complained about the discrimination. See " EEOC
<<http://www.eeoc.gov/press/8-8-01.html>> Settles Suit Against Arizona
Company." <<mailto:richard.tuschman@bakernet.com>>
richard.tuschman@bakernet.com or <<mailto:gerald.l.maatman@bakernet.com>>
gerald.l.maatman@bakernet.com Alert Date: 8/15/01

US - LABORS' ODD ALLIANCE WITH BUSH: Labor groups have recently supported
U.S. President Bush's proposal to allow oil drilling in a national wildlife
refuge in Alaska. The drilling will produce 700,000 jobs that would impact
the economy and make a difference for working men and women in Alaska. See "
Odd Alliance
<http://www.boston.com/dailyglobe2/219/business/Labor_s_odd_alliance_with_Bu
[sh+.shtml](mailto:j.richard.hammett@bakernet.com)> ." <<mailto:j.richard.hammett@bakernet.com>>
j.richardhammett@bakernet.com or <<mailto:howard.f.fine@bakernet.com>>
howard.f.fine@bakernet.com Alert Date: 8/15/01

US - UTAH BUSINESS SUPPORTING AOL IN EMPLOYEE DISMISSAL CASE: An array of
Utah businesses are rallying behind America Online (AOL) in an employee
dismissal case. AOL fired two workers in its Utah office for carrying guns
in a parking lot outside an AOL call center. The workers are suing AOL,
claiming that the company's anti-weapons policy violates state gun laws.
Business groups have filed pleadings supporting AOL's attempts to dismiss
the lawsuit. " AOL Case
<<http://www.siliconvalley.com/docs/news/tech/079965.htm>> ." <<mailto:gerald.l.maatman@bakernet.com>>
gerald.l.maatman@bakernet.com or
<<mailto:micheal.j.wagner@bakernet.com>> micheal.j.wagner@bakernet.com Alert
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US - EEOC SUING WAL-MART AGAIN: On August 8, 2001, the U.S. Equal Employment
Opportunity Commission (EEOC) filed a lawsuit in federal court against
Wal-Mart Stores, Inc. for allegedly discriminating against a job applicant
who uses a wheelchair. The EEOC said the suit should remind corporate
America that it would hold employers accountable for disability
discrimination. It is another lawsuit in a series of claims brought against
the company by the EEOC. See " EEOC Sues Wal-Mart
<http://news.findlaw.com/ap_stories/f/1310/8-8-2001/20010808184726420.html>
." <<mailto:jill.walschlager@bakernet.com>> jill.walschlager@bakernet.com or
<<mailto:gerald.l.maatman@bakernet.com>> gerald.l.maatman@bakernet.com Alert
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